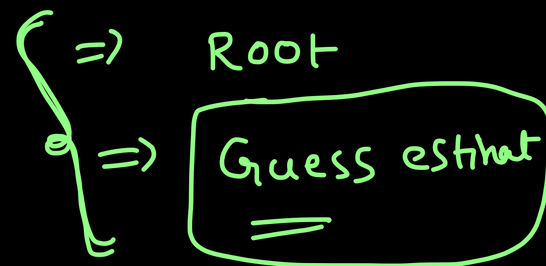
Agenda

* Guesstimate

  - Games 24/7



Assignments

Made with Goodnotes

4 Different kinds of product sense problems

① Product Diagnostics - Analyse a metric change

C - Clarify ✓

R - Ruleout ✓

I - Internal Data ✓

E - External Data ✓

D

T - Time

R - ~~Ruleout~~ Region

O - Other Related feature

Pl - platform

C - Canibalization

S - Segmentation

Made with Goodnotes

(2) New product / Feature - Measuring performance / Success

1. clarify ✓
2. Business Goals ✓
3. Define the metrics
   - Awareness ✓
   - Acquisition ✓
   - Activation / Adoption ✓
   - Engagement ✓
   - Revenue ✓
   - Retention ✓
   - Gaurd Rail metric ✓
4. ✓ Summarize → NSM, L1, L2

Made with Goodnotes

3 Product Design - Launch Feature Recommendation

1. clarify the goal
2. Discuss the metrics
3. Experimentation
4. Testing pitfalls
   - primary effect
   - Novelty effect
   - Network effect

1. Setup Hypothesis
2. Choice of test
3. Sample size calculation
   - Baseline metrics
   - Min Detectable effect
   - Significance level
   - power of test $(1-\beta)$

Made with Goodnotes

What is Guess Estimate ?

↳ Estimation with sensible assumption

Examples:

1. How many cup of coffee sold in USA every day ?
2. What is the total revenue generate by instagram ?
3. How many red color cars present in Hyd ?

Made with Goodnotes

=> How many cup of coffee are sold in USA Everyday ?

XYZ

1. Total population of USA = 300 million

2. Non kid population = 80% x 300 = 240 million

3. % of 13+ who take coffee = 65% of 240 = 156 million

1
156 min

2
312 million

Made with Goodnotes

Framework

1. Clarify
2. Analyze
3. Breakdown the problem
4. Calculations
5. validate

Made with Goodnotes

=> Games 24/7

Games 24/7 had launched an arena based first person shooting game back in the year 2020. The game became very popular among the users in a very short span of time. Now the company intends to launch a similar game where they're introducing a brand new map and some other cool features as well.

You, as a Product Analyst hired by Games 24/7, have to prepare a pricing strategy for them, where the Winner gets prize money Rs. 1 lakh and the Runner up gets Rs. 50k for each gaming event.

What should be the per game entry price for a single participant?

Made with Goodnotes

Objective

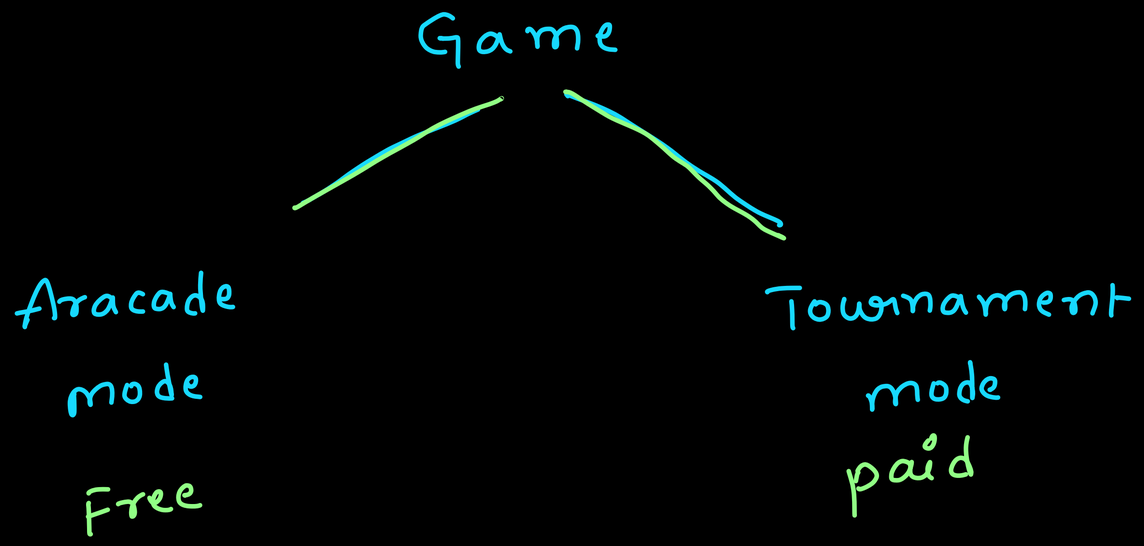
1. How structured is your approach?
2. How comfortable are you with estimating no's?
3.

Prerequisites

Made with Goodnotes

1. Clarify
2. Analyze
3. Breakdown
4. Calculate
5. Validate

- 1. New launched game
- 2 Already establish game



Made with Goodnotes

→ Arcade mode: ✓

1. No prizes
2. practice

→ ✓✓ Royalty cards

Tournament mode ✓

entry fee

Made with Goodnotes

Income Sources

1. Entry passes
2. Ads Hosting
3. Royalty cards
4. Event sponsers

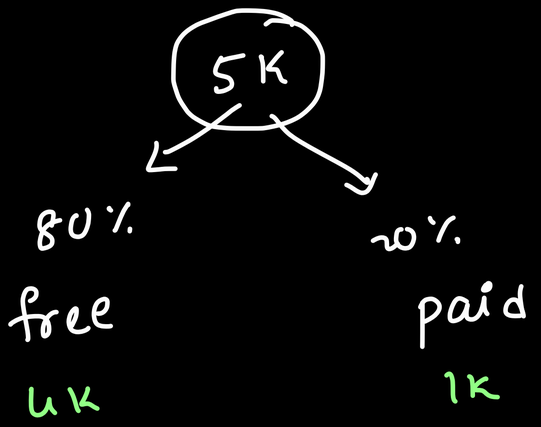
Expenditures

1. Maintainence - ✓
2. Server Hosting ✓ ✓
3. Self promotions
   - Youtube ✓
   - Celebraties ✓
4. prize money
   - winner ✓ → 1L
   - Runner ✓ → 50K
5. Refeal bonus

Made with Goodnotes

Newly Launched Game :

1. Number of active users on the platform ⇒ 5K

2. 

3. 10% of combined → Rs 1000 [Royalty cards]

4. no of contests
   - 5 aracade mode
   - 1 tournament mode

Made with Goodnotes

5. 30 sec ad will be shown to free players

6. pricing of 30 sec → 1 Lack

7. 15K per day marketing budget → 4.5L per month

8 5L → celebrities

9. 3L → mainenc cost

10 5L → Seever cost

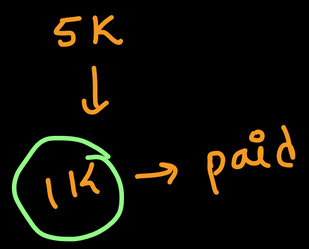
Made with Goodnotes

Calculations

Incoming Cash Flow

1. 

entry fee



Total amount received from users

= no of paid users X no of tournaments X entry price * no of days

= 1K * 1 * x * 30 = **30K * x**

Outgoing cash flow

1. Total prize money = 1.5L

30 * 1.5 = 45 Lak

2. Budget for promotions

= 4.5 + 5 = 9.5L

3. maintainence + sewer cost

= 3 + 5 = 8

Made with Goodnotes

(2) Royal cards revenue

$= 0.1 * 5000 * 1000$

$= 5L$

(3) Revenue from ad hosting

= No of ads * No of days * cost per each

$= 1 * 30 * 1L = \boxed{30L}$

Total income

$= 30kx + 5L + 30L$

$= \boxed{30kx + 35L}$

Total Expenditure

$= 62.5$

Made with Goodnotes

$30\,lx + 35L = 62.5$

$30000x = 62.5 - 35$

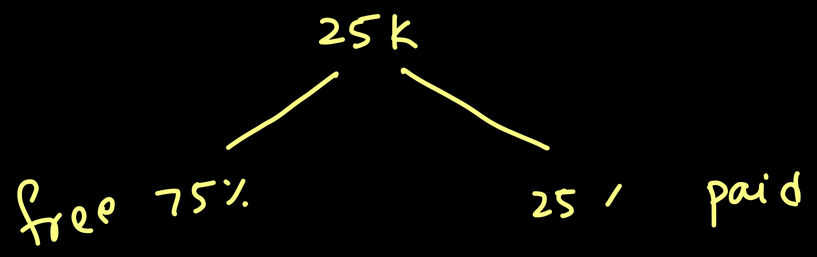
$= 27.5$

$x = \frac{2750000}{30000} = 91.\overline{6} \simeq 92$ ✓ $\Rightarrow$

Already Established Game

Assumptions

1. # of active users => 25 k

2. 

3. Royal cards → 10% → 2.5 K per user

4. no of contests
   - 10 arcade
   - 3 tournament

Made with Goodnotes

5. 2L → ad hostings

6. maintenc cost → 15L — 3L x 5

7. Server cost → 25L — 5L * 5

Calculations

Made with Goodnotes

⇒ Iphone

How many iphone users are there in India at present ?

1. Total population = 1 Billion

2. 60% eligible population = 600 million

3. 30% afford an iphone ⇒ 180 million

1.8 cr

180 million
- Urban
- Rural

10% of actually have ⇒ 18 million

Made with Goodnotes

How many refrigerators are sold in India every year?

→ Market Share & sales data:

→ Total Household NO, Commertial

→



Made with Goodnotes